3.4.2 Managing the National Economy

Macroeconomic Models and Policies

Candidates should be able to use macroeconomic models, including the AD/AS model, to analyse the causes of possible conflicts between policy objectives in the short run and long run. They should be able to discuss approaches to reconciling these conflicts and the monetarist/supply-side view that the major macroeconomic objectives are compatible in the long run.

There should be an awareness of the changes in monetary and fiscal policy which have occurred in the last ten years or so.

Fiscal Policy

Candidates should be able to discuss the issue of the budget balance and be able to evaluate the possible economic consequences of a budget deficit or budget surplus and the possible corrective measures.

They should be able to assess the economic significance of changes in the level and distribution of public expenditure.

They should be able to analyse and evaluate the microeconomic significance of taxation and the various roles and relative merits of the different UK taxes. There should be an awareness of the taxation principles which are likely to underlie a taxation system, such as the ability to pay and the impact on incentives.

There should be an awareness of the introduction of fiscal rules: the UK Code for Fiscal Stability and the Stability and Growth Pact within the euro area.

Note: given the requirements of this Unit and those of Unit 2, it is expected that candidates will have an understanding of both the potential demand-side and supply-side effects of fiscal policy, including its microeconomic role and the influence over the pattern of economic activity.

Supply-Side Policies

Candidates should develop a more sophisticated understanding of supply-side policies using A2 concepts such as progressive taxation and the natural rate of unemployment. They should understand the contribution of supply-side policies to the management of the economy and to achieving particular macroeconomic policy objectives.

They should also appreciate that supply-side policies, such as tax changes, privatisation and labour market reforms, can have microeconomic as well as macroeconomic effects.

Monetary Policy, the Money Supply and Interest Rates	Candidates should be able to build on their knowledge of the role of the Monetary Policy Committee (MPC) of the Bank of England from Module 2 and be able to discuss how the Bank can influence the money supply and the rate of interest. In particular, they should be aware of the objectives of monetary policy. They should be able to identify and explain the instruments of policy which are currently employed by the Bank of England to achieve the inflation target set by the government. Candidates should understand how the demand for, and supply of, funds in different markets affect interest rates. Candidates should have an understanding of the factors considered by the MPC when setting interest rates. *Note: knowledge of the credit multiplier and liquidity preference theory is **not** expected.*
Exchange Rate Policy	Candidates should understand the relationship between interest rates and the exchange rate and how the exchange rate might be an influence on policy objectives such as price stability and unemployment.